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28.02 Balance of Trade

Meaning

Balance of trade denotes the difference between the value of import and the value of export during a year. If the export of a country exceeds its imports, it shows favourable balance of trade. If the import exceeds the exports, it shows unfavorable balance of trade.

Difference Between Balance of Payments and Balance of Trade

Points of difference between balance of trade and balance of payments are briefly explained in the following Table.

Structure of Balance of Payments

The balance of payments consists of four components namely, current account. Capital account, They are highlighted briefly.

Current Account

The current account balance includes two items

1. Visible trade - Import and export of goods
2. Invisible trade - Invisible service items like, banking, shipping, insurance, travel and transportation

Difference Between Balance of Payments and Balance of Trade

Nature	Balance of Payment	Balance of Trade
1. Meaning	It is a systematic record of all economic transactions happened between the resident of one country and resident of foreign countries during a particular period.	Balance of trade is statement showing the net effect of export and import of a country
2. Nature of Transactions recorded	It records both the transactions relating to goods and services	It records only transactions relating to merchandise , i.e. goods transactions
3. Capital Transactions	It records capital transactions	It does not record capital transactions
4. Structure	It includes balance of trade. balance of services, balance of unilateral transfer and balance of capital transactions	It is part of current account of BOP
5. Net Position	It always remains balanced in the sense that receipt side is made equal to payment side	It may be at favorable or unfavourable or in equilibrium state.
6. Indicator Economic Status	It is true indicator of economic performance of an economy	It is not true indicator of economic prosperity or economic relations of country.
7. Correcting Unfavourableness	Unfavourable balance of payment leads to deficit in balance of payment situation.	Unfavourable balance of trade can be converted into favorable balance of payment